INSTITUTIONAL INITIATION REPORT | ASYMMETRIC STRUCTURAL ALPHA

OCTOBER 2026 • 4-YEAR CYCLE OUTLOOK

EQUITY RESEARCH INITIATION COVERAGE

Bitcoin Corporate Treasuries

Capturing Structural Alpha via Digital Credit, Volatility Monetization & mNAV Discipline

Core Investment Thesis: This research note initiates coverage on a concentrated portfolio of Bitcoin Corporate Treasury entities (MicroStrategy, Strive/Semler Scientific, and Metaplanet ADR). The investment roadmap begins with a completed seed deployment of INR 3,50,000, followed by a scheduled top-up of INR 2,50,000 in Year 1 (Total Year 1 = INR 6,00,000), and systematic tranches of INR 5,00,000 per year across Years 2, 3, and 4 (Cumulative Capital = INR 21,00,000 / ~$25,200 USD). All capital is routed through INDmoney under the Reserve Bank of India's Liberalised Remittance Scheme (LRS). Deployments are executed strictly under a quantitative ≤15th percentile mNAV discipline to harvest asymmetric structural alpha over spot Bitcoin through corporate digital credit and accretive ATM equity flywheels.

RESEARCH DOSSIER METRICS

Analyst: Mahim Patel

Stance: OVERWEIGHT

Seed Deployed: INR 3,50,000

Total Plan: INR 21,00,000

Platform: INDmoney (LRS)

Benchmark: Spot BTC / NIFTY

Target Horizon: 4-Year Cycle (July 2026 – July 2030)

TCS Tax Drag: 0% TCS across all 4 Years (< ₹7L)

1.0 Seed Allocation & 4-Year Staged Capital Deployment Schedule

Holding / Entity	Ticker / Custody	Seed Capital (INR)	Weight (%)	Strategic Role in Portfolio
MicroStrategy Inc.	NASDAQ: MSTR (INDmoney)	**INR 1,50,000**	**42.9%**	Institutional anchor; S&P 500 inclusion flows; massive ATM liquidity; credit market access.
Strive / Semler Scientific	NASDAQ: SMLR / Strive	**INR 1,10,000**	**31.4%**	Mid/small-cap high-beta; operational cash flow redirect into BTC; rapid BTC/share growth.
Metaplanet Inc.	TSE: 3350 / ADR (INDmoney)	**INR 80,000**	**22.8%**	Asian MicroStrategy; JPY debt/yield arbitrage; 20% equity tax vs 55% Japanese crypto tax.

Deployment Phase / Timing	Tranche Amount (INR)	Cumulative Principal	Execution Trigger Condition	Regulatory & TCS Status
Phase 1 (Completed Seed)	INR 3,50,000	INR 3,50,000	Initial baseline entry into MSTR, Strive, Metaplanet	**0% TCS (Under ₹7L limit)**
Phase 2 (Year 1 Top-Up)	INR 2,50,000	INR 6,00,000	Secondary tranche on multiple consolidation (≤15th %ile)	**0% TCS (Year total ₹6.0L < ₹7L)**
Phase 3 (Year 2 Tranche)	INR 5,00,000	INR 11,00,000	Systematic entry during cyclical pullbacks (≤15th %ile)	**0% TCS (Year total ₹5.0L < ₹7L)**
Phase 4 (Year 3 Tranche)	INR 5,00,000	INR 16,00,000	Systematic accumulation tranche (≤15th %ile mNAV)	**0% TCS (Year total ₹5.0L < ₹7L)**

Deployment Phase / Timing	Tranche Amount (INR)	Cumulative Principal	Execution Trigger Condition	Regulatory & TCS Status
Phase 5 (Year 4 Tranche)	INR 5,00,000	INR 21,00,000	Final cycle tranche; pre-euphoria positioning	**0% TCS (Year total ₹5.0L < ₹7L)**

2.0 Macroeconomic Paradigm: Sovereign Debt Spiral & Monetary Debasement

The Fiscal Dominance Trap: The global macroeconomic backdrop has crossed into structural Fiscal Dominance—a regime where sovereign debt obligations exceed sustainable debt-to-GDP levels, forcing central banks to subordinate interest-rate policy to sovereign solvency. With US federal debt exceeding $35 Trillion (>120% Debt-to-GDP) and net interest expense surpassing $1.05 Trillion per annum (exceeding total US defense spending), rate hikes mechanically widen the sovereign fiscal deficit, pumping liquidity into the real economy via interest outlays.

Mathematical Mechanics of Debasement: In this monetary regime, the relevant hurdle rate for capital preservation is the compound growth rate of global broad money supply (M2 CAGR). Real purchasing power decays exponentially:

$$P_t = P_0 \times (1 - \pi_{real})^t \quad | \quad \pi_{real} = (\Delta M2 / M2) - \Delta Y_{real}$$

With global M2 compounding at 7%–10% annually against 2.5% real economic growth, unhedged cash and fixed-income assets guarantee systematic capital destruction.

Asset Class	Supply Scarcity / S2F	Dilution Risk / Elasticity	Holding / Carry Cost	Settlement Velocity & Portability
Bitcoin (BTC)	Absolute Scarcity: 21M cap; S2F → ∞	Zero supply response; strictly inelastic	Zero storage cost; non-depreciating pure code	Instant borderless final settlement; 24/7 liquidity
Physical Gold	High S2F (~60-80 years)	1.5%–2.5% annual dilution via new mining	Storage, assaying, vault security (0.2%-0.5% p.a.)	Physical transport friction; assaying verification delays
Prime Real Estate	Local land scarcity; variable S2F	Zoning expansions, high-rise up-zoning	Property taxes (1-3% p.a.), maintenance, insurance	Highly illiquid; weeks-to-months settlement cycle
US Treasuries / Cash	Negative scarcity; uncapped expansion	Uncapped fiscal dilution; exponential debt growth	Guaranteed negative real yield post dilution	Restricted banking hours; sanctions/censorship exposure

3.0 Bitcoin Layer-1 as the Base Settlement Layer of Future Global Finance

The Settlement Convergence Thesis: Major financial innovations across the digital asset economy will ultimately settle upon Bitcoin Layer-1. Alternative Layer-1 networks routinely sacrifice state decentralization and ledger immutability to chase ephemeral transaction throughput. Bitcoin's Proof-of-Work thermodynamic consensus represents an unbreachable settlement layer supporting secondary infrastructure:

- **Stablecoin Rails:** Taproot Assets and Lightning Network facilitate instant, low-fee US Dollar stablecoin settlement finalized against Bitcoin's thermodynamic base-layer security.
- **RWA Tokenization & Runes/Ordinals:** Verifiable digital artifacts and real-world asset claims are anchored directly into satoshis, creating immutable provenance without smart contract counterparty risk.
- **Trust-Minimized Programmability:** BitVM achieves Turing-complete verification on Bitcoin without protocol forks. Stacks (sBTC consensus linkage) and Babylon (BTC shared security staking) unlock yield without compromising sovereign self-custody.

- **Cryptographic Rollups:** ZK-rollups process high-velocity computations off-chain while anchoring cryptographic validity proofs into Bitcoin blocks.

4.0 Digital Credit & Capital Structure Arbitrage

The Spread Arbitrage: Traditional corporate debt funds depreciating capital assets with uncertain return on invested capital (ROIC). Bitcoin Treasury entities execute a structural macro spread trade: issuing fiat liabilities at 0%–1% interest to acquire an asset compounding at >40% CAGR. This constitutes Digital Credit—monetizing the gap between the corporate cost of capital (WACC < 1.5%) and Bitcoin's monetary appreciation.

Institutional Convertible Arbitrage: Convertible Senior Notes (Rule 144A) form the core borrowing mechanism. MicroStrategy and Metaplanet issue 5-to-8 year notes carrying 0.0% to 0.875% cash coupons at 30%–40% conversion premiums. Institutional fixed-income buyers execute convertible arbitrage—purchasing the notes and delta-hedging by shorting common stock to capture implied volatility while securing par redemption. The corporate issuer effectively accesses institutional fiat liquidity at negative real rates.

Zero Margin-Call Architecture: The corporate notes are general, unsecured senior obligations of the parent. There are zero loan-to-value (LTV) liquidation covenants, zero margin maintenance triggers, and zero collateral liens on the underlying Bitcoin reserves. Even under an 80% market crash, creditors cannot force Bitcoin liquidations.

5.0 The Reflexive ATM Flywheel & 'BTC Yield' Accretion Mathematics

The ATM Flywheel Condition (mNAV > 1.0x): When a company's stock trades at an Enterprise Value exceeding the market value of its underlying Bitcoin (mNAV > 1.0x), At-The-Market (ATM) equity offerings (Rule 415) are mathematically non-dilutive. Newly issued equity monetizes the market's speculative premium to acquire spot Bitcoin at an effective net discount, increasing the underlying Bitcoin backing per share for existing holders.

$$\text{BTC Yield}_t = \left[\left(\frac{\text{BTC}_t}{\text{Diluted_Shares}_t}\right) - \left(\frac{\text{BTC}_0}{\text{Diluted_Shares}_0}\right)\right] \Big/ \left(\frac{\text{BTC}_0}{\text{Diluted_Shares}_0}\right)$$

Numerical Balance Sheet Proof: 10M shares holding 10,000 BTC ($100k spot, $100 NAV/share) trading at 2.0x mNAV ($200/share). A $100M ATM offering issues 500k shares (+5% dilution) and purchases 1,000 BTC (+10% asset growth). BTC/share jumps from 0.001000 to 0.001048—delivering +4.76% net asset accretion with zero capital required from shareholders.

Market Multiple (mNAV)	Equity Issue Price	Shares Issued per $1B Raise	BTC Acquired ($100k Spot)	Net BTC Yield Accretion (%)
1.20x (Trough / Compression)	$120.00	8,333,333 shares	10,000 BTC	**+1.54% per share**
1.50x (Baseline Median)	$150.00	6,666,667 shares	10,000 BTC	**+3.12% per share**
2.00x (Bull Expansion)	$200.00	5,000,000 shares	10,000 BTC	**+4.76% per share**
2.50x (High Momentum)	$250.00	4,000,000 shares	10,000 BTC	**+5.77% per share**
3.00x (Euphoria Premium)	$300.00	3,333,333 shares	10,000 BTC	**+6.45% per share**

6.0 Valuation Discipline: Statistical mNAV Bands & The 15th Percentile Rule

The mNAV Multiple Regime: Valuing corporate treasuries requires Market Net Asset Value: mNAV = Enterprise Value / (Spot BTC Price × Total BTC Holdings). Historical multiples cycle through distinct distribution regimes: (1) Deep Multiple Compression: 1.05x–1.25x mNAV; (2) Normal Accumulation: 1.50x–1.90x mNAV; (3) Speculative Blow-off: 2.50x–3.50x mNAV.

The 15th Percentile Quantitative Entry Protocol: Deploying capital strictly below the 15th percentile of historical rolling mNAV provides a quantitative margin of safety. Entering at 1.10x–1.25x mNAV strips away the speculative premium, acquiring leveraged corporate exposure at near-parity with underlying spot assets. As market sentiment normalizes toward the median (1.75x) or 85th percentile (2.50x), multiple expansion generates 60%–115% structural alpha on top of base Bitcoin appreciation.

7.0 The Structural Floor Hypothesis: Cushioning Bear Cycles (-50% vs -80%)

Microstructure Transformation: Historically, Bitcoin bear markets experienced catastrophic drawdowns: 2014 (-86%), 2018 (-84%), and 2022 (-77%), caused by recursive margin liquidations across shadow lenders dumping into illiquid spot order books. Post-2024, corporate treasuries operate with indefinite holding horizons ("never sell"). With spot ETFs and corporate balance sheets permanently locking up >12% of circulating supply, liquid float has collapsed. As spot prices drop 30%–40%, ATM facilities and convertibles expand to absorb miner capitulation, establishing a game-theoretic support floor around ~50% peak-to-trough drawdown (e.g., $160k bottoming at $80k rather than crashing to $30k).

8.0 Flagship Asset: MicroStrategy (NASDAQ: MSTR) Debt Maturity Profile

Debt Instrument	Principal Amount	Coupon Rate	Maturity Year	Conversion Terms / Strike
Convertible Senior Notes	$650 Million	0.750%	2025 (Refinanced)	$397.99 strike price
Convertible Senior Notes	$1,050 Million	0.000%	2027	$1,432.50 strike price
Senior Secured Notes	$500 Million	6.125%	2028 (Callable)	Senior secured; pari passu
Convertible Senior Notes	$800 Million	2.250%	2032	$2,045.00 strike price
Convertible Senior Notes	$1,010 Million	0.625%	2028	$1,831.94 strike price

9.0 High-Beta Satellites & Comparative Peer Matrix

Entity / Ticker	Market Cap Category	Primary Debt Tool	Historical mNAV Range	Strategic Alpha Driver
MicroStrategy (MSTR)	Mega-Cap FinTech ($40B+)	Institutional Convertibles (144A)	1.10x – 3.20x	Index inclusion inflows; apex institutional liquidity
Metaplanet (3350 / ADR)	Small-Cap Japanese Equity	Moving-Strike Rights & JPY Debt	1.20x – 4.50x	JPY carry trade; 20% vs 55% Japanese tax arbitrage

Entity / Ticker	Market Cap Category	Primary Debt Tool	Historical mNAV Range	Strategic Alpha Driver
Strive / Semler (SMLR)	Micro-Cap Healthcare / Tech	Operating Free Cash Flow & ATM	1.05x – 2.10x	Healthcare cash-cow FCF directed 100% to BTC

10.0 Risk Stress-Testing & Kerrisdale Short-Seller Rebuttal

The 'Unwind' Risk & Bear Solvency: If mNAV falls below 1.0x, ATM share issuance pauses to prevent dilution, triggering accretive share buybacks. A 3-year winter stress test ($35,000 BTC) confirms zero solvency risk: annual interest costs are <$40M (covered by software cash flows), with zero margin-call covenants. The Kerrisdale Capital "Short MSTR / Long BTC" thesis fails due to negative borrow carry, gamma squeeze blowouts, and ignorance of continuous per-share BTC Yield accretion.

11.0 Indian Regulatory Architecture & 4-Year Return Scenarios (INR 21 Lakh Capital)

> **Structural Indian Tax Arbitrage:** Direct crypto in India suffers a punitive 30% flat tax + 1% TDS with zero loss set-offs. In contrast, US equities via INDmoney (RBI LRS) held >24 months qualify for 12.5% LTCG with full capital loss set-offs. Because Mahim Patel's capital deployment is staged at ₹6.0L in Year 1 and ₹5.0L/yr in Years 2–4, remittances remain strictly below the ₹7,00,000 annual ceiling—**securing 0% TCS across all 4 years**.

Macro Scenario (2026–2030)	Spot BTC Price	Average mNAV	Terminal Portfolio Value (INR)	MOIC Multiple	Strategy XIRR (%)
Bear Case (Macro Stagnation)	$75,000	1.15x mNAV	**INR 29,74,000**	**1.42x MOIC**	**14.0% XIRR**
Base Case (Institutional Maturation)	$185,000	1.65x mNAV	**INR 59,53,000**	**2.83x MOIC**	**45.0% XIRR**
Bull Case (Sovereign Adoption / Hyper-Beta)	$380,000	2.35x mNAV	**INR 1,07,13,000 (1.07 Cr)**	**5.10x MOIC**	**75.0% XIRR**

Execution Summary: In the Base Case, the cumulative INR 21,00,000 capital compounds to **INR 59,53,000** (+INR 38.53 Lakhs net profit / 45.0% XIRR). In the Bull Case, the portfolio reaches **INR 1.07 Crore** (5.10x return / 75.0% XIRR), demonstrating significant structural alpha over passive spot Bitcoin holding.